

Excise exemption and service tax limit should be enhanced



R.K. Bansal, managing director, Upline, points out lack of component manufacturing facilities in India. "Indian electronics manufacturers depend on import of electronic components like ICs, transistors, MOSFETs, IGBTs and microcontrollers. We don't have a single semiconductor (material) manufacturing company in the country," says Bansal.

Bansal expects the government to either levy the custom duty on finished UPS products or allow purchase of raw materials at nil duty.

Further, to nurture SMEs and startups in this segment, he recommends extension of the excise exemption limit from Rs 15 million to Rs 50 million and service tax limit from Rs 1 million to Rs 2.5 million.

Core issue is to support and promote manufacturing in India



Kapil Sood, CEO, Fusion Power Systems, points out, "Core issue is to support and promote manufacturing in India." According to him, manufacturing should be accompanied with identification of the products that are beneficial for the country, such as LED lights and solar-based products. "Right now, VAT for electronic components has been increased from 4 per cent to 5 per cent. VAT on finished products of LED lights is 12.5 per cent and that on batteries is 12.5 per cent. VAT on all these products must be rationalised," says Sood.

The government should promote private spending on electronic security equipment



Rajnish Aggarwal, managing director, Adept Designs, says, "Due to geographical vastness of the country and India not being one of the richest countries in the world, the government is unable to spend the required amount of money on security measures. The government should promote private spending on electronic security and safety equipment such as CCTV cameras, fire alarm systems, access control systems and burglar alarms."

Issues that demand immediate revamping are high custom duty and high VAT on electronic security products, high service tax on installation and maintenance of security products, and almost negligible manufacturing and R&D of electronic security equipment in India.

Rethink policies for broadband



Considering the 500-million mobile subscriber base of India, N.K. Goyal, president, CMAI, suggests to abolish the termination charges on mobiles—a move that will greatly promote customer acquisition and satisfaction.

He feels that the government should rethink its policies for broadband, and allow for easier proliferation of broadband, spectrum and licences for unserved and under-served areas.

Also there is need for release of funding to the user departments so that they can effectively use it for socio-economic development.

The core issues should be availability and cost



The discussion is bound to continue but for the time being we conclude it with 'going green' model suggested by eminent ICT consultant P. Venkatram.

Venkatram stresses on availability and cost of four major elements: clean and reliable electricity, real estate and associated infrastructure, capital (money) and trained manpower. Further, he recommends an energy-usage model for all industrial estates on the lines of the proposed SEZ Bill. The industrial estates should be incentivised to provide cost-effective, sustainable and eco-friendly environment for electronics manufacturing. Expenses related to activities like retrofitting infrastructure to reduce energy consumption for heating and cooling, usage of energy-efficient devices, waste recycling and e-waste disposal should be considered as tax-free. At the same time, penalties for pollution-generating activities may be a good way for revenue generation and pollution control.

Venkatram advocates reduction of custom duties on capital equipment needed for high-value electronics manufacturing, like wafer fabrication units for solar and semiconductor manufacturing. For human power development, he recommends attractive bank financing and tax incentives for setting up and running training institutions. He also feels the need for promoting hybrid electric engines for the automotive sector, smart grid applications for electricity generation/transmission/distribution, and energy-efficient devices with BEE star ratings. The rate of interest on bank loan for capital investment is much higher in India than in USA and other foreign countries. Increase of FDI percentage in capital expenditure may leave less burden on a firm.

Finally, Venkatram recommends that the government should implement a norm for using GIS, GPS and remote-sensing based land-record management system for monitoring and managing any infrastructure project.

The author is a consultant—editorial, industry & academia interface at EFY